TEACHER GUIDE

AQA A-level Business (7132)

Improving cash flow

3.5 Financial management
3.5.4 Making financial decisions: improving cash flow and profits



A revision lesson. Pupils run a car dealership in firms of four and revise improving cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Net cash flow today

Round 1

They pay a deposit today.

Net cash flow today? Money out is minus.

You buy them today	**£34,400**
Customer's price	**£39,700**
Customer pays today	**10%**

ANSWER

−£30,430

10% × £39,700 = £3,970;
£3,970 − £34,400 = −£30,430

Why: The deposit covers only £3,970 of the £34,400 you pay today.

2 Why cash is short

Round 1

Profit is high, but the bank says you are over your overdraft limit.

Which two best explain the cash shortage?

- **A** Suppliers give 60 days to pay
- **B** Customers are slow to pay
- **C** Too much cash tied up in stock
- **D** Gross profit margin has fallen
- **E** More buyers pay by card

ANSWER

✓ Customers are slow to pay
✓ Too much cash tied up in stock

Why: Slow payers and stock hold cash back; card sales and supplier credit help.

3 Cash timing order

Round 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

Put these in time order, first to last?

- **A** The cars arrive
- **B** The cars are sold
- **C** The customer pays you
- **D** You pay the supplier

ANSWER

1. The cars arrive
2. The cars are sold
3. You pay the supplier
4. The customer pays you

Why: Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

Topic tasks

4 Month-end balance

Round 2

They pay half in month 2.

Balance at the end of month 2?

Set aside for this deal	**£15,900**
Month 1: you buy the cars	**£51,150**
Running costs, each month	**£780**
Customer's price	**£62,000**

ANSWER

−£5,810

£15,900 − £51,150 − 2 × £780 + £31,000 = −£5,810

Why: Month 2 is still short: the other half comes in month 3.

5 Factor or overdraft

Round 3

A customer owes you £40,000 in 60 days. A factor pays you now for 4%; an overdraft costs 12% a year.

Which is cheaper, and why?

A The factor

B The overdraft

ANSWER

✔ **The overdraft**

Why: 4% of £40,000 is £1,600; 12% a year for 60 of 365 days is about £790.

6 Bank covers the gap

Round 3

The bank covers the gap.

Balance at the end of month 2?

Set aside for this deal	**£16,400**
Month 1: you buy the cars	**£42,000**
Charge on month 1 overdraft	**2%**
Month 2: customer pays	**£52,050**

ANSWER

£25,938

Month 1: −£25,600; charge 2% × £25,600 = £512; −£25,600 − £512 + £52,050 = £25,938

Why: Waiting for the customer cost £512 in bank charges.

Final questions

Each pupil answers 6 final questions on improving cash flow. They come from these 8 questions.

1. A dealership expects £180,000 cash inflows, £215,000 cash outflows and an opening cash balance of £50,000 next month. What is the forecast closing cash balance?
   ✔ **£15,000**

2. A dealership starts April with £28,000 cash, expects £92,000 of cash receipts and £108,000 of cash payments. What closing balance should its forecast show?
   ✔ **£12,000**

3. A dealer buys £70,000 of stock on 30-day trade credit and sells it for cash after 12 days. What is the main short-term cash-flow benefit?
   ✔ **Cash is received before the supplier payment falls due**

4. A workshop forecasts opening cash of £22,000, receipts of £64,000 and unavoidable payments of £91,000 this week. What is the forecast cash shortfall?
   ✔ **£5,000**

5. A flood destroys uninsured stock while supplier invoices remain due. Which statement best explains the immediate finance problem?
   ✔ **The stock is lost, but the debt remains**

6. A dealer starts a campaign month with £40,000 cash, expects £85,000 receipts and £96,000 operating payments, plus £18,000 campaign spend. What is forecast closing cash?
   ✔ **£11,000**

7. The CFO forecasts opening cash of £65,000, receipts of £140,000, supplier payments of £118,000 and payroll of £52,000. What is closing cash?
   ✔ **£35,000**

8. A dealer opens the month with £52,000, expects receipts of £88,000 and payments of £119,000. What is the closing balance?
   ✔ **£21,000**